

Five Steps to Financial Wellbeing

One of the ways that we can try to combat this is by creating a pot of money that is exempt from any kind of over-analysis or 'sensible' spending. Having a pool that you can dip into without buyer's remorse or a dent in your everyday budget can help you to regulate your feelings around spending and, therefore, your spending behaviour itself. It is a way to break the emotional spending cycle without inadvertently making overspending more inevitable – let me explain:

When we set spending on non-essentials up as the big bad behaviour that we want to avoid, as the antithesis of being 'good with money', we risk creating a go-to behaviour for every time that we feel we've fallen off the wagon of perfect financial behaviour. The more we see spending as a vice, the more we might tend to use it as a crutch, because we make it both more enticing and more punishable when we tell ourselves that it's entirely forbidden. Some people that I've spoken to even go as far as describing this way of spending as self-harm – a way of punishing yourself for any perceived financial misdeeds.

This is where giving yourself an amount of money that you can spend without guilt comes in handy, because it allows you to give yourself permission to spend on 'treats' and other non-essentials that you might otherwise balk at. This in turn lessens, and eventually eliminates, the guilt and shame that often perpetuate this cycle. It's hard at first: you have to set boundaries with yourself and your thoughts in order to avoid the automatic wonderings about whether there was